

Q1 2025

Custom Managed Portfolios

Jarislowsky Fraser North American Equity

Quick facts

Asset class:
North American Large Cap

Management style:
GARP¹

Number of holdings:
70

Sub-advisor:
Jarislowsky Fraser

Portfolio manager:
Aviso Wealth

Minimum investment:
\$150,000

Inception Date:
January 01, 1997



What does the strategy invest in?

Jarislowsky has consistently applied a fundamental value style of investing, concentrating on proven, well-managed, large capitalization companies which are financially sound. This portfolio will consist of 20-35 Canadian equities and 20-35 U.S. equities. Jarislowsky constructs diversified, high quality portfolios designed to protect existing capital and achieve long-term growth for its clients.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	-2.3%	-2.3%	14.2%	13.6%	16.6%	10.5%	10.1%
Benchmark ⁵	-1.4%	-1.4%	15.6%	11.3%	18.0%	11.4%	8.9%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	28.8%	24.1%	-13.1%	25.2%	8.2%	17.2%	0.9%
Benchmark ⁵	29.0%	17.1%	-8.4%	26.4%	10.8%	23.9%	-2.4%

Standard deviation	7.1%	Sortino ratio	1.80	Downside capture	69.8%
Sharpe ratio	1.18	Beta (Equity)	0.94	Upside capture	89.0%

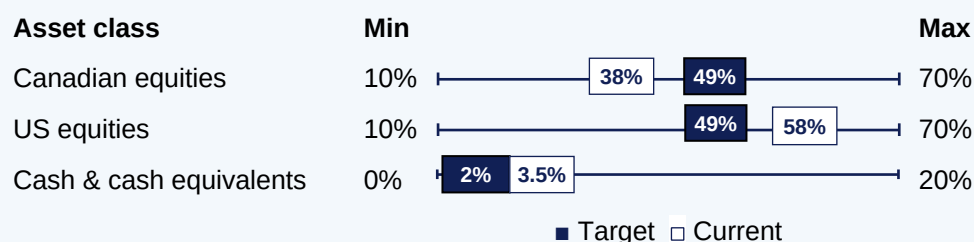
Largest holdings

1. MICROSOFT CORP	5.0%	6. MASTERCARD INCORPORATED	2.5%
2. AMAZON.COM INC	3.6%	7. CDN NTL RAILWAY CO	2.4%
3. META PLATFORMS INC CLASS	3.0%	8. BROOKFIELD CORP VTG CL A	2.3%
4. UNITEDHEALTH GRP INC	2.6%	9. BOSTON SCIENTIFIC CORP	2.3%
5. ALPHABET INC CL A	2.5%	10. ABBOTT LABS	2.2%

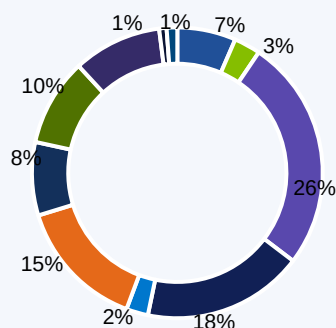
Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
1.4%	32.44	21.22	5.17	4.94	391.54B	48.9%

Target allocations

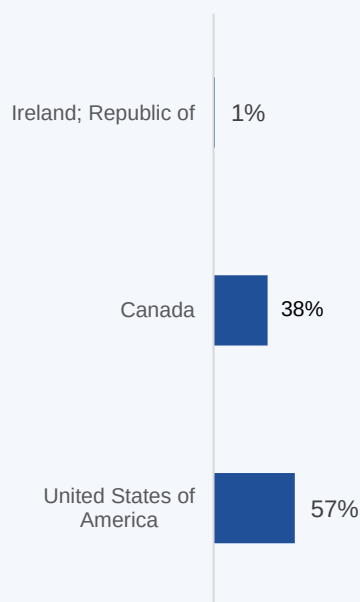


Sector breakdown



- Communication Services
- Materials
- Financials
- Information Technology
- Energy
- Industrials
- Consumer Staples
- Consumer Discretionary
- Health Care
- Utilities
- Real Estate

Geographic allocation



Quarterly commentary

Economic Review: The tailwinds from the Trump administration's perceived growth-leaning agenda that were experienced during the latter half of 2024 have subsequently turned into material headwinds for certain risk markets in the first quarter of 2025.

Canada's nominal and real yields declined with expectations for continued policy easing and elevated risks to the demand side of the economy as the trade war permeated through Canada's fixed income markets.

Global equity markets were mixed in the first quarter with the U.S. lagging, while international markets were strong led by a broad-based rally in European equities.

Canadian Equity: Despite our focus on investing in a diverse set of high-quality businesses—typically regional or global leaders with durable competitive advantages, strong balance sheets and superior growth through the cycle—the risk-off environment favoured other sectors, where these attributes are lacking. Notably, Materials (+20.3%), led by the Gold subsector (+34%), substantially outperformed as the flight to safety pushed the commodity up 40% over the past year to all-time highs. Similarly, Utilities (+4.9%), Communication Services (+2.2%), and Real Estate Investment Trusts (+2%) performed better than the index, despite their low growth and high leverage. These four areas accounted for more than 40% of the portfolio's underperformance in Q1. Materials was the largest detractor; the portfolio's position in high-performing Franco-Nevada (+34%) could not fully offset the rally in producers, which have the most exposure to commodity prices.

From a stock-specific standpoint, the top contributors to our relative first quarter performance were Franco Nevada, Intact Financial, and METRO. Franco Nevada, a prominent streaming and royalty company, demonstrated strong performance driven by rising gold prices, which positively influenced sector sentiment and the company's run-rate cash flow. Intact Financial outperformed this quarter, driven by robust underwriting performance and growth in investment and distribution income. METRO continues to report industry-leading sales growth, driven by its balanced approach between full-service and discount offerings in the grocery business, and a value-oriented pharmacy brand. The primary detractors in the quarter were AtkinsRéalis, OpenText, and Brookfield Corp.

During the quarter, we made several portfolio changes to upgrade its quality characteristics and enhance expected returns. Early in the quarter, we exited Magna International due to excessive binary risks from potential tariffs. The Trump administration subsequently implemented a 25% tariff on non-U.S. vehicles, which created a significant headwind for Magna's Canadian, Mexican, and European businesses. Additionally, we exited our positions in Empire Company Limited and Manulife Financial Corporation, as strong fundamental performance led to significant valuation re-ratings, reducing the potential for future returns.

These trades funded new positions in TD Bank and TFI International. We initiated a position in TD Bank as the bank trades at a discounted valuation despite significant progress on remediating its AML issues and an accelerated leadership refresh at the CEO and board levels. TD is the best-capitalized

Canadian bank, with a dominant retail franchise and ranking as North America's sixth-largest bank by assets. The valuation is attractive, and we anticipate significant share buybacks to provide downside protection compared to other Canadian banks.

Finally, we initiated a position in TFI International, as recent results have been impacted by the ongoing freight recession across North America, presenting a compelling opportunity to purchase the stock at a large discount to intrinsic value. TFI has high levels of insider ownership and a strong history of growth through acquisitions. Despite the recent pullback, the company has significantly outperformed the index over the past 10 years. We expect management to improve operations as volumes recover and allocate capital to acquisitions and share buybacks, to maximize shareholder value in the years ahead.

U.S. Equity: Some of the speculative activity that surged in the fourth quarter following U.S. President Donald Trump's election and the Republican takeover of Congress began to unwind. This was most evident in Tesla, which dropped nearly 40%. More broadly, technology-related companies faced pressure throughout the quarter as rising uncertainty over trade policy and the economy led to a "risk-off" environment. Leading sectors included more defensive areas like Health Care (+6.6%) and Consumer Staples (+5.3%).

Key individual contributors to outperformance included Mondelez, which benefitted from expectations of a larger cocoa bean harvest, leading to lower production costs for its chocolate bars. Abbott Labs also performed well as investors began to recognize its strong growth potential alongside its relatively low valuation compared to peers. Boston Scientific, another peer with a higher valuation, was also a significant contributor, as its new tool for treating atrial fibrillation continued to outpace competitors.

Headwinds to performance during the quarter were largely technology-related companies, including Amazon, Oracle, and Alphabet.

During the quarter, amidst the volatility in the technology and AI sectors, we initiated a new position in Broadcom. The semiconductor company produces everything from custom computer chips for AI applications to non-AI related semiconductors and mission-critical enterprise software. Broadcom provides us with attractive exposure to the AI ecosystem, especially as clients like Alphabet and Meta look to diversify their data centers away from market leader NVIDIA. Due to its diversified business, especially its highly-recurring software segment that accounts for about 40% of revenue, we believe Broadcom offers better downside protection compared to NVIDIA. Additionally, Broadcom helps us balance our AI exposure by including both chip buyers (e.g. Amazon, Microsoft, Alphabet) and semiconductor company.

We also exited our relatively small position in Estée Lauder, as recent management turnover and ongoing challenges to its core business weakened our investment thesis.

Investment Outlook: Entering 2025, we expected economic, political and policy divergence between major economies to persist and likely intensify.

Credit spreads, which widened in the first quarter, should continue their path towards a normalized and frankly more attractive level.

The current market volatility is providing ample opportunities to deploy capital in businesses that we believe will have enduring competitive advantages beyond the current uncertainty.

Disclosure: The Bank of Nova Scotia (BNS) is the parent company of Jarislowsky, Fraser Limited. BNS securities held in the portfolio are related securities.

¹ GARP (Growth at a reasonable price)

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

The return data is as at March 31, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is 50% S&P/TSX Composite TR Index; 50% S&P 500 TR Index (CAD)

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